MUKESH PATEL SCHOOL OF TECHNOLOGY MANAGEMENT & ENGINEERING

STUDY GUIDE WORLD BANK

Agenda 1 : Evaluating Reconstruction Strategies for Fragile and Conflict-Affected Areas

Agenda 2 : Developing a Framework for Sustainable Energy Transition

Letter from R&D

Dear Delegates,

The Department of Research & Development of MUNSociety MPSTME welcomes you to the 11th edition of Mumbai MUN! Our department upholds a proud tradition of facilitating meaningful discourse on national and international matters, encompassing both historical events and current issues.

We are primarily tasked with formulating agendas and preparing comprehensive study guides. We have created detailed and engaging guides aimed at providing valuable resources for all delegates..

This year's theme, "Redefine the Norm," challenges us to think beyond conventional solutions and embrace innovative approaches to global challenges. In a rapidly evolving world, traditional methods often fall short of addressing contemporary issues. We believe that transformative change requires the courage to question established practices and the creativity to envision alternative pathways.

With this theme in mind, we have thoroughly picked agendas and committees that demand fresh perspectives, challenge conventional thought, and encourage innovative approaches to problem-solving. In this study guide, you will find well-researched background information to help you prepare for your committee sessions.

We, as facilitators, aim to provide you with the intellectual arsenal to combat any challenges that you might face and make the most of your Mumbai MUN experience.

We look forward to your active participation and contributions during Mumbai MUN and are confident that, together, we can make this conference a memorable and enriching experience for all.

Best wishes,
Department of Research & Development,
MUNSociety MPSTME.

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Note: The QARMAs will be released pre-conference, post post-consultation with the Executive Board.

COMMITTEE OVERVIEW

About the World Bank

The World Bank is an International Financial institution that plays a major role in providing loans and grants to low and middle-income nations to spur international development and collective growth. It is one of the largest and oldest organisations of its kind which collaborates with more than 180 countries to move towards the eradication of poverty and the boosting of a shared prosperity on a livable planet.

The World Bank was originally called the International Bank for Reconstruction and Development (IBRD). Although the organisation (World Bank Group) has expanded greatly since its founding and has multifurcated into five sub-institutions (including a separate IBRD), understanding the context and circumstances of its origin is essential for truly grasping the nature, mandate, and future of the World Bank as an institution.

Founding and Evolution

The World Bank along with the International Monetary Fund (IMF) was contrived during the final stages of the Second World War at the Bretton Woods Conference; at a moment when the world had come to terms with the inevitable defeat of the Axis forces thus, making the establishment of a new world order imperative for its nations. The Order formulated by the vindicated nations at the end of the First World War had proved to be gravely unsustainable; It exacerbated the economic troubles of vanquished Germany through exorbitant reparations, leaving its people greatly aggrieved. The lack of a strong and representative overarching financial framework led to global protectionist, retrogression, and inflexible monetary policies which eventually culminated in the great depression.[1]

The World War now was crippling most of Europe and had destroyed entire cities and their industrial capacities; while numerous countries around the world were set to become independent after long colonial rule. The need for reconstruction and development through large-scale investments had become paramount, alongside a consensus on the necessity of preventing excessive economic volatility by establishing necessary guardrails and frameworks.

In 1944, representatives of 44 nations gathered at the secluded Mount Washington Hotel in Bretton Woods, New Hampshire in what became known as the Bretton Woods Conference. Their purpose was to agree on a system of economic order and international cooperation that would help countries recover from the devastation of the war and foster long-term global growth.

There were two major propositions at the fore- One promulgated by the United States and another by the United Kingdom. The latter had in the last century been a global hegemon, whose borders spanned various oceans; but now, Great Britain was greatly indebted and its economic future remained uncertain. The former, however, was emerging as an undisputed financial powerhouse, whose significance lay in the huge account surpluses its economy now enjoyed, with a stable and strong currency. The conference was the clash between two intellectual paradigms- One outlined by Lord John Maynard Keynes, whose canonical contributions to the field of economics had greatly revolutionised the staid discipline that it was once deemed to be. The other was from the American side largely formulated by Harry Dexter White under the umbrella of the US treasury, determined to contrive an international framework with the dollar as its reserve currency at a fixed exchange rate backed with gold.

Two major financial institutions were established as a result, namely- The International Monetary

[1] Steil, B. (2013). *The Battle of Bretton Woods: John Maynard Keynes, Harry Dexter White, and the Making of a New World Order*. Princeton University Press.

Fund and the IBRD (World Bank) and the IMF. The IMF was aimed at promoting international monetary cooperation, exchange rate stability, and providing temporary financial assistance to countries facing balance of payments problems. On the other hand, The World Bank is primarily oriented towards long-term economic development and poverty reduction. These two organisations along with the WTO are collectively referred to as the Bretton Woods institutions.[2]

Bretton Woods Conference
Source: Review of the International Financial History in the Twentieth Century: System and Anarchy, Cambridge University Press

Mission and Objectives

The World Bank as an institution has changed greatly since its inception, and so has the verbatim with which it articulates its missions. But, the general sense of purpose with which the organisation was contrived has indeed remained intact.

Aims to reduce poverty and support development by providing financial and technical assistance

Providing financial assistance to governments embattled and embittered by the War was the initial objective of the World Bank, in which along with contingent efforts by other organisations and governments it largely succeeded. As European economies began to recover by the 1960s, the Bank's focus shifted from reconstruction to facilitating infrastructure projects and promoting economic stability in low- and middle-income countries. In this period, the World Bank's mandate greatly expanded to incorporate poverty reduction and social development as one its primary pillars. Various means have been utilised to better realise such goals catering to the needs and perspectives of its member entities including measures called Structural Adjustment Programs (SAPs) which provide financial assistance to countries contingent on the implementation of economic reforms.

Focus on promoting sustainable development and economic stability globally

SAPs and various measures based on the principle of conditionality have indeed ushered in wide-scale development, but they have also drawn criticism from multiple groups for the social and environmental impacts. This has led to a reevaluation of the policies heralded by the World Bank with a greater emphasis laid on sustainability. The World Bank greatly aligned its objectives with multilateral initiatives like the Millennium Development Goals (MDGs) which have worked towards improving health, education, and living conditions in developing countries. The World Bank, now aligns its goals with the subsequent Sustainable development goals by acting as a primary source of financial assistance for the same. The SDGs serve as a shared blueprint for peace and prosperity for people and the Planet.[3]

Functioning of World Bank

Two main sub-institutions play a role in providing financial assistance to governments–The IBRD and the IDA.

[2]Steil, B. (2013). *The Battle of Bretton Woods: John Maynard Keynes, Harry Dexter White, and the Making of a New World Order*. Princeton University Press.

[3]*Who we are*. (n.d.). https://www.worldbank.org/ext/en/who-we-are

International Bank for Reconstruction and Development (IBRD)

As the world's largest development bank, IBRD provides financial resources and policy advice to help countries reduce poverty and extend the benefits of sustainable growth to all of their people. It mainly focuses on the public sector and largely finances projects initiated by the national or local governments with an increased scope for public-private partnerships. The IBRD lends to governments of middle-income and creditworthy low-income countries which often tend to be major drivers of growth and home to large-scale infrastructure projects.

The majority of the IBRD's funding is derived from member state capital contributions, the reflows it obtains from the repaid loans(In after all is a bank) and financial markets; it tends to be in a great position to obtain capital at favourable terms for its eventual borrowers, for whom it has been mobilising finance for 75 years. This is due to the fact that the IBRD has maintained a high credit rating for a long period of time.

In fiscal 2023, IBRD drew on its triple-A rating and strong standing in the markets to raise about $43 billion in sustainable development bonds, which were issued in a variety of structures and maturities. As part of its funding program, IBRD issues sustainability bonds and green bonds. Since issuing the first-ever labelled green bond in 2008, it has issued almost $290 billion in labelled bonds, including $18 billion in green bonds.[4] For green bonds, IBRD allocates equivalent amounts to eligible activities that address climate change. The approach to issue sustainable development bonds that support all our activities has been greatly expanded—today, IBRD is the largest issuer of sustainable development bonds and uses the funds raised from capital markets to support development activities in member countries.

Capacity building is another domain where the IBRD plays an important role. It provides certain guarantees to private sector lenders called Partial Risk guarantees (PRGs), as a hedge against certain unmitigated uncertainties relating to the government like currency inconvertibility, expropriation, and unforeseen regulatory changes. This gives the organisation a great deal of credibility and attracts private investment into crucial sectors in developing economies. Such a mechanism comes in very handy in the case of reconstruction initiatives as political instability and state incompetence tend to be some of the most distinct features of Fragile and Conflict-Affected Areas (FCAs).[5]

International Development Association (IDA)

The IDA provides highly concessional financing to the world's poorest countries, aiming to drive long-term development in critical sectors such as education, healthcare, water, sanitation, infrastructure, agriculture, and institutional reforms. These interventions are designed to promote economic growth, job creation, poverty reduction, and overall improvement in living conditions for some of the most vulnerable populations. IDA's role is particularly crucial during crises, offering rapid financial support through its Crisis Response Window (CRW) to countries hit by disasters such as famines, pandemics, earthquakes, and other emergencies, ensuring a swift and stable recovery process.

What sets IDA apart is its ability to act as a "first mover" in fragile and conflict-affected environments where timely, large-scale investments are essential to stabilise economies

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[4] *International Bank for Reconstruction and Development*. (n.d.). World Bank. https://www.worldbank.org/en/who-we-are/ibrd

[5] World Bank Group. (2020). *World Bank Group Strategy for Fragility, Conflict, and Violence 2020–2025*. https://documents1.worldbank.org/curated/en/844591582815510521/pdf/World-Bank-Group-Strategy-for-Fragility-Conflict-and-Violence-2020-2025.pdf

and restore confidence. In such environments, IDA operates when others may hesitate, demonstrating leadership and providing solutions that often serve as models for other development partners. Over the years, IDA has developed a unique ability to convene global partnerships, mobilising resources and expertise from various sectors to tackle complex problems that require multi-sectoral and multinational collaboration.

IDA's funding comes primarily from contributions by donor governments that ensure a steady flow of financial support for eligible countries, with decisions on resource allocation made based on country income levels, performance in managing development projects, and specific needs. Beyond financing, Its ability to engage in long-term partnerships even after immediate crises have passed reflects its essential role in fostering durable solutions for the world's poorest regions.[6]

Other Arms of the World Bank

International Finance Corporation (IFC)

It provides loans, guarantees, equity, advisory services, and project development services and mobilises additional capital from other sources to grow private sector investment in developing countries.

Multilateral Investment Guarantee Agency (MIGA)

It provides political risk insurance and credit enhancement to investors and lenders to facilitate foreign direct investment in emerging economies.

International Centre for Settlement of Investment Disputes (ICSID)

It provides international facilities for conciliation, mediation, and arbitration of investment disputes.

Governance Structure

The governance structure includes the Board of Governors and the Board of Executive Directors.

Board of Governors

Composition - This is the highest decision-making organ of the World Bank is the Board of Governors. The Executive Directors of these organisations are the country's finance ministers or central bank presidents, one of whom is appointed to represent one of the 189 member countries of the World Bank.

Powers and Responsibilities - The most important policies for the Bank are determined by the Board of Governors, which includes the acceptance of new members, approval of additional capital injections, and sanctioning major changes to the structure and operating policies of the Bank. However, the Board of Governors never meets except once in a year which is during the Annual Meetings, and all of the general day-to-day operations are delegated to the Board of Executive Directors.[7]

Board of Executive Directors

Composition - The Board of Executive Directors manages World Bank Executive Directors and decisions on operational issues on a day-to-day basis; there were 25 such Executive Directors in all. Some member states have their own Executive Directors such as the United States of America, Japan, China, Germany, France and the United Kingdom and the rest are bundled into

[6] *International Development Association - World Bank*. (n.d.). https://ida.worldbank.org/en/home

[7] *Organization*. (n.d.). World Bank. https://www.worldbank.org/en/about/leadership#:~:text=The%20World%20Bank%20is%20like,finance%20or%20ministers%20of%20development

clusters that have shared Directors with the other states.

Voting Power - Voting power within the Board is directly proportional to the financial contributions and capital subscriptions by each and every nation. That is, the more the contribution a country makes, the more the voting power.[8]

In our conference, we shall be referring to the IBRD voting powers for both IBRD and IDA (as concerned with).

Agenda 1: Evaluating Reconstruction Strategies for Fragile and Conflict-Afflicted Areas

BACKGROUND

Fragile and Conflict-Afflicted Areas (FCAs)

FCA challenges are context-specific, complex, and nuanced, requiring approaches tailored to the distinct geography, history, and conflict drivers of each setting. FCA is often the result of tensions that have evolved over years, decades, and even generations, yet its triggers can be immediate. The two elements—fragility, and Conflict—are often interrelated and mutually reinforcing:

Fragility

Countries with deep governance issues and state institutional weakness are identified through policy-based and governance indicators. Fragile situations tend to be characterised by deep grievances and/or high levels of exclusion, lack of capacity, and limited provision of basic services to the population. Fragile situations tend also to be characterised by the inability or unwillingness of the state to manage or mitigate risks, including those linked to social, economic, political, security, or environmental and climatic factors.

Conflict

Countries in active conflict are identified based on a threshold rate of conflict-related deaths. Violent conflicts occur when organised groups or institutions, sometimes including the state, use violence to settle grievances or assert power.[9]

World Bank FCA Support Focus Areas
Source: European Space Agency

Key indicators of fragility and conflict in countries with FCAs

Catalysts

Climate change is a driver of fragility and a threat multiplier. Both in the immediate term and long term, it can aggravate already fragile situations

[8]GORORDO, L. F., BUISSÉ, A., BONMARTIN, P., CHANG, J., YANG, W., GNANENDRAN, V., TASKER, R., IMAMURA, H., UEMURA, K., KRAKE, M., PUTSCHER, N., & INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT INTERNATIONAL FINANCE CORPORATION INTERNATIONAL DEVELOPMENT ASSOCIATION EXECUTIVE DIRECTORS AND ALTERNATES Corporate Secretariat. (2024). *INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT INTERNATIONAL FINANCE CORPORATION INTERNATIONAL DEVELOPMENT ASSOCIATION EXECUTIVE DIRECTORS AND ALTERNATES Corporate Secretariat*. https://thedocs.worldbank.org/en/doc/bb59d0763541241f684b8e784ea9aa07-0330032021/original/BankExecutiveDirectors.pdf

[9]Brinkerhoff, D. W. (2011). State Fragility and Governance: conflict mitigation and subnational perspectives. *Development Policy Review*, *29*(2), 131–153 . https://doi.org/10.1111/j.1467-7679.2011.00529.x

and increase vulnerabilities, exacerbate grievances, and deepen existing fragility. By 2030, climate impacts could push an additional 100 million people into poverty. By 2050, in three regions alone that have been studied (Sub-Saharan Africa, South Asia, and Latin America), as many as 143 million people could become climate migrants, with potentially destabilising effects.[10]

Demographic challenges such as high fertility and youth dependency rates can lead to higher poverty, lower investments in children, high unemployment or underemployment, and the risk of instability and unrest.

Gender inequalities are an aggravating factor in fragile situations. They tend to be magnified in Fragile, Conflict and Violence (FCV) settings when regressive gender norms, including those related to masculinities, and higher risk of gender-based violence, including sexual exploitation and abuse, combined with a lack of access to health, education, and employment. Because the share of women-headed households tends to increase during violence and conflict, promoting economic opportunities for women is key. This is also paramount for the successful implementation of the Women, Peace, and Security Agenda of the United Nations (UN).[11]

Illicit trafficking and criminal networks have benefitted from greater mobility and interconnectedness and, in many contexts, this exacerbates FCV challenges. Elite capture, poverty, and inequality are associated with increases in a range of illicit activities, including trafficking, corruption, and illicit financial flows.

Digital transformation has the potential to play a positive role in promoting peace but can also widen economic gaps and drive exclusion. It can present uncharted territory when demands for openness are not met, or when criminal networks or extremist groups prey on disenfranchised and marginalised communities.

Implications

Political instability remains a significant impediment to development in many regions, particularly in FCAs. The persistent state of flux often breeds uncertainty, undermining governance structures and eroding public trust in institutions. This instability is exacerbated by factors such as irregular political transitions, which can leave governance vacuums that fuel unrest and violence. Such conditions create an environment ripe for further discord, stymying efforts to implement effective policies aimed at fostering economic growth and social cohesion. In this context, political instability acts not merely as a backdrop but as a central actor in the ongoing drama of poverty and underdevelopment, perpetuating cycles of hardship for the most vulnerable populations.

Economic Disruption is particularly pertaining to infrastructure, poses a formidable challenge to achieving sustainable development in many regions of the world. Infrastructure serves as the backbone of economic activity; when it is inadequate or deteriorating, the consequences ripple through the economy. Poor transportation networks hinder trade, while insufficient energy supplies limit industrial productivity. In many FCAs, the lack of robust infrastructure not only hampers economic growth but also exacerbates existing inequalities, making it increasingly difficult for marginalised communities to access essential services and opportunities. The cumulative effect of this disruption is a stunted economy, where potential growth remains untapped, and the promise of prosperity remains perpetually out of reach.

[10]World Bank Group. Migrants, Refugees and Societies. *World Development Report 2023*. https://www.onlinelibrary.iihl.org/wp-content/uploads/2023/07/2023-World-Bank-World-Development-Report-2023-Migrants-Refugees-and-Societies.pdf .

[11]World Bank Annual Report 2023: A new era in development. (2023). In *Washington, DC: World Bank eBooks*. https://doi.org/10.1596/40219

Social fragmentation often manifests as a decline in human security, further complicating the landscape of development in FCAs. In contexts where communities are divided along ethnic, religious, or socioeconomic lines, the resulting mistrust can lead to social unrest and violence. Human security, encompassing the right to live free from fear and want, is fundamentally threatened when social cohesion breaks down. As individuals prioritise their group identities over collective well-being, the shared values and norms that are vital for community resilience begin to erode? This fragmentation not only stifles individual potential but also weakens the social fabric necessary for addressing broader developmental challenges.

Food security is another major concern. The spectre of severe food insecurity looms large, with projections indicating that over 240 million individuals are likely to face acute hunger until 2027. Disturbingly, this crisis is particularly pronounced in FCAs, where the prevalence of food insecurity is reported to be twice as high as in more stable regions.[12] The interplay of conflict, economic instability, and climate change exacerbates agricultural vulnerabilities, leading to diminished crop yields and skyrocketing food prices. Consequently, the most disadvantaged populations are disproportionately affected, trapped in a cycle where hunger perpetuates poverty, and poverty, in turn, exacerbates hunger. Addressing this multifaceted crisis requires urgent and coordinated efforts at both local and global levels, recognizing that food security is intrinsically linked to political stability and economic resilience.

Irregular political transitions, and external conflicts, as well as other recent developments in countries, such as coups, —including Russia's invasion of Ukraine—further jeopardise the fragile efforts to mitigate poverty in developing countries. Such occurrences not only disrupt governance but also lead to a diversion of resources away from essential development initiatives, further entrenching cycles of poverty and instability.The ramifications of these events extend beyond national borders, as global supply chains are disrupted, commodity prices fluctuate, and international aid efforts are hampered. In this precarious environment, the ability of nations to formulate and implement cohesive strategies aimed at poverty alleviation becomes increasingly tenuous, underscoring the interconnectedness of political stability, economic health, and social cohesion in the quest for sustainable development.

RECONSTRUCTION STRATEGIES

What is reconstruction?

Reconstruction in the context of FCA refers to the process of rebuilding and stabilising societies following periods of violence or instability. This involves restoring essential services, reviving local economies, fostering social cohesion, and strengthening governance and institutions. The ultimate goal is to create a resilient environment that supports peace, development, and the well-being of affected populations.

Key objectives of reconstruction

The World Bank considers various different criteria in measuring its efforts for reconstruction.

One of the major objectives is spurring economic growth. Jump-starting the economy through investment in key productive sectors and creating the conditions for the resumption of trade, savings and foreign investment as well as the promotion of macroeconomic objectives can help, the rehabilitation of financial institutions, and restoration of appropriate legal and regulatory frameworks.

Strengthening these frameworks strengthens institutions. Reestablishing the framework of governance by strengthening government institutions, restoring law and order, and

[12] Bank, W. (2020). *Poverty and Shared Prosperity 2020: Reversals of Fortune*. World Bank Publications.

enabling the organisations of civil society to work effectively is one of the major objectives of the World Bank in the reconstruction process.

Within this process, we must also salvage the existing infrastructure, to reduce loss of culture, and integrity as well as cut down on cost. Repairing important physical infrastructure, including key transport, communication, and utility networks is key for sustainment. This includes rebuilding and maintaining key social infrastructure; that is, financing, education, health, and recurrent costs.

This World Bak Group (WBG) progress first targets assistance to those affected by war through reintegration of displaced populations, demobilisation and reintegration of ex combatants, revitalization of the local communities most disrupted by conflict through such means as credit lines to subsistence agriculture and microenterprises, and support for vulnerable groups such as female-headed households.

There are efforts made to normalise financial borrowing arrangements by planning a workout of arrears, debt rescheduling, and the longer-term path to financial normalisation.[13]

The FCV (in this context referred to as FCA) strategy outlines WBG's commitment to helping prevent conflict, remain engaged during conflict and crisis, support countries' transitions out of FCV, and mitigate spillover effects such as forced displacement.[14]

Technical assistance and key indicators

At the heart of The World Bank's support to countries is the commitment to fostering inclusive economic growth that empowers individuals and lifts them out of poverty. This involves not just measuring and monitoring data but also conducting in-depth analyses to provide policymakers with a clearer understanding of the economic dynamics underlying poverty and inequality. The World Bank's efforts extend to elevating the discourse on poverty reduction and equitable growth, ensuring that these crucial issues remain central in development discussions. Share policy analysis is aimed at addressing poverty directly while reinforcing the vital connections between climate action and social equity.

Institutional Strengthening is one area in which the WBG offers assistance. It measures perceptions of the rule of law, including the extent to which laws are publicly promulgated, equally enforced, and independently adjudicated. It further makes use of such indicators to advise governments and incite Civil Society Engagement. There are attempts made to increase the number and effectiveness of CSOs operating in the region, as well as their level of participation in governance processes.

Moreover, the WBG also aims for Infrastructure Repair and Development, by monitoring the Infrastructure Quality Index. This measures the quality and reliability of transport, communication, and utility networks (e.g., roads, bridges, electricity, water supply). Using this, access to essential services can be helped ensured. The percentage of the population with access to basic utilities (electricity, water, sanitation) and improved transportation infrastructure shows up as a metric on the indicator and can help signal where investment in infrastructure projects is required. Financial resources can then be allocated towards

[13]The World Bank. (1998). *Post-Conflict reconstruction: The role of the World Bank*. The International Bank for Reconstruction and Development / THE WORLD BANK. https://documents1.worldbank.org/curated/en/175771468198561613/pdf/multi-page.pdf?_gl=1*z22e6a*_gcl_au*MjA0Nzk2OTUzNS4xNzI0MTc5MzMw

[14]World Bank Group. (2020b). *World Bank Group Strategy for Fragility, Conflict, and Violence 2020–2025*. https://documents1.worldbank.org/curated/en/844591582815510521/pdf/World-Bank-Group-Strategy-for-Fragility-Conflict-and-Violence-2020-2025.pdf

infrastructure repair and development relative to planned budgets.

Social Infrastructure Rebuilding, via high education enrollment rates via monitoring the percentage of children enrolled in primary, secondary, and higher education institutions, especially in areas affected by conflict, ensuring Health Service Access, and tracking Healthcare Quality Indicators can help redevelop resilient social infrastructure and frameworks. Healthcare Quality Indicators, such as patient outcomes, maternal and child health statistics, and the availability of essential medicines and medical supplies are relevant areas of focus when in the rebuilding stage.

This social infrastructure is backed by targeted assistance and community revitalization-social contracts. Displacement and Reintegration Rates are successful indicators that can be used to track the number of displaced persons successfully reintegrated into their communities and the effectiveness of demobilisation and reintegration programs for former combatants.

With the economy being a major part of rebuilding and reconstruction efforts, debt management plays a big role. The most common indicator used to do so is the debt-to-GDP Ratio. Monitoring changes in the debt-to-GDP ratio helps gauge the sustainability of debt levels as the economy stabilises. Moreover, successful negotiations for debt rescheduling or write-offs, including the timelines for achieving financial normalisation is something that the WBG can help plan for.[15]

Role of the World Bank in Reconstruction

The World Bank has always had a role in addressing the consequences of violent conflict; its original mandate was to support the reconstruction of Europe after World War II. The nature, scale, and proliferation of conflicts in the post-cold war era, however, are challenging development goals in a wide range of countries, threatening national and regional stability, and increasingly diverting international attention and resources from global development problems.

There are four main pillars that provide specific guidance on how to engage in different types of FCAs settings.

The first pillar is preventing violent conflict and interpersonal violence by addressing the drivers of fragility and immediate- to long-term risks—such as climate change, demographic shocks, gender inequality, patterns of discrimination, economic and social exclusion, and perceptions of grievances and injustice—and strengthening the sources of resilience and peace before tensions turn into a full-blown crisis.

The second pillar refers to remaining engaged during conflict and crisis situations to preserve hard-won development gains, protect essential institutions, build resilience, and be ready for future recovery.

The third pillar aims at helping countries transition out of fragility, by promoting approaches that can renew the social contract between citizens and the state, foster a healthy local private sector, and strengthen the legitimacy and capacity of core institutions.

The last pillar focuses on mitigating the spillovers of FCAs to support countries and the most vulnerable and marginalised communities that are impacted by cross-border crises, such as forced displacement or shocks resulting from

[15] World Bank. (2023). Adaptive Social Protection for Effective Crisis Response: Independent Evaluation Group Evaluation of the World Bank's Contribution (Approach Paper).

famines, pandemics, and climate and environmental challenges.[16]

CASE STUDIES

Rwanda (Post-Genocide Reconstruction)

Overview of the reconstruction efforts.

Rwanda's remarkable post-genocide reconstruction efforts have placed the country on a transformative path. Following the harrowing 1994 genocide, which claimed nearly one million lives and left the country in ruins—economically, socially, and institutionally—the nation embarked on an ambitious journey to rebuild. Devastation extended to nearly all aspects of society: infrastructure, human capital, and Rwanda's ability to attract investment were virtually obliterated. Poverty levels soared, with 78% of the population, particularly women, affected. Yet Rwanda's recovery has been nothing short of extraordinary, spurred in part by the international community's support.

The World Bank's involvement has been pivotal. As one of the earliest donors, the Bank supported the country's reconstruction through policy guidance, donor coordination, and substantial financial assistance. Since 1994, the International Development Association (IDA), a key arm of the World Bank, has provided over US$1 billion to Rwanda, initially focused on emergency reconstruction. This aid addressed critical needs in health, education, water, energy, and communications, and helped lay the foundation for long-term development.

In the years following, Rwanda's focus shifted from crisis response to sustainable growth. In this phase, IDA assistance helped the government craft its first Poverty Reduction Strategy Paper (PRSP) in 2002, targeting key development areas, all of which have largely been met or surpassed. Rwanda now aims to transform from a low-income, agriculture-based economy to a knowledge-driven, service-oriented one, positioning itself as a model for African development, emphasising results, innovation, and lessons learned from global best practices.[17]

Agriculture was a major domain that the WB focused on. As the backbone of Rwanda's economy, agriculture accounts for 39% of GDP and 80% of employment. IDA, the lead donor, has supported agricultural modernization, with projects like the Rural Sector Support Program (2006-2008) doubling rice yields in marshland areas.

The IDA also aided the creation of Rwanda's private sector and export promotion strategies, leading to the establishment of the Rwanda Investment and Export Promotion Agency (RIEPA). Coffee, tea, and tourism revenues rose in 2008, alongside growing exports of hides, cassiterite, and coltan.

On top of the establishment of the RIEPA, the IDA's Decentralization and Community Development Project enabled a shift from centralized governance, focusing on pro-poor service delivery in remote areas. The project facilitated over 160 sub-projects, primarily schools and health centres.

The IDA supported education through the Human Resources Development Project and sector-wide planning, helping shape the government's 10-year education financing strategy.

This humanitarian focus went beyond just education, as the WBG also helped develop health policies targeting the poor and supported performance-based health reforms. It has also provided grants for Rwanda's HIV/AIDS program,

[16]World Bank Group. (2020b). *World Bank Group Strategy for Fragility, Conflict, and Violence 2020–2025*. https://documents1.worldbank.org/curated/en/844591582815510521/pdf/World-Bank-Group-Strategy-for-Fragility-Conflict-and-Violence-2020-2025.pdf

[17]International Development Association. (2009). Rwanda: From Post-Conflict Reconstruction to Development.

working with partners like the Global Fund and PEPFAR. Programs like these also repaired water supply systems and emphasised community participation and private sector involvement in rural water management.

Successes

With IDA's support, Rwanda crafted its first Poverty Reduction Strategy Paper (PRSP) in 2002, achieving or surpassing most targets.[18] Despite the deep scars left by the genocide, significant strides have been made in resettlement, national reconciliation, and the reintegration of ex-combatants. Approximately 15,000 former government soldiers have been integrated into the national army, and around 3.5 million refugees have returned to the densely populated country.

The social sector has seen remarkable progress: primary school enrollment surged to 95% by 2008, up from 67% in 1990, with completion rates rising to 55% by 2005. Immunisation rates are among the highest in Sub-Saharan Africa at 98%. The use of insecticide-treated bed nets skyrocketed from 4% to 65% between 2004 and 2008, and HIV prevalence has been steadily declining, now at 3%.

Challenges

Rwanda's aspirations to become a Middle-Income Country by 2035 and a High-Income Country by 2050 hinge on its series of seven-year National Strategies for Transformation (NST), aligned with the UN's Sustainable Development Goals. However, the country's public-sector-led development model has shown cracks, as increasing public debt raises concerns. In 2019, public investments accounted for 13% of GDP, contributing to significant fiscal deficits, primarily financed by external borrowing.

Syria (Post-Conflict Reconstruction)

Syria's post-conflict reconstruction is among the most complex undertakings of modern times. Years of devastating civil war have not only decimated the country's infrastructure but also dismantled its social and economic systems. Cities like Aleppo, Homs, and Damascus, once thriving cultural and economic hubs, now lie in ruins, their urban structures reduced to rubble. The scale of destruction is staggering, leaving millions of Syrians displaced, both within the country and across borders, in what is the largest displacement crisis since World War II. As Syria begins to envision a future beyond conflict, the role of international institutions such as the World Bank will be crucial in guiding and supporting its reconstruction efforts.

The World Bank's Pre-Conflict Engagement and Potential Role

Before the onset of war in 2011, the World Bank had a cooperative relationship with Syria, providing technical assistance aimed at private sector development, human capital enhancement, and environmental sustainability. Syria was a rapidly growing lower-middle-income nation, with promising GDP growth averaging 4.3% annually in the decade leading up to the conflict. Yet, despite these improvements, the societal tensions simmering beneath the surface, combined with deepening political unrest, eventually led to an explosive conflict. As the war raged on, the World Bank's involvement in Syria was suspended, but the need for its expertise has become more critical than ever as discussions of rebuilding take centre stage.

As the country moves towards post-conflict recovery, the World Bank's role will likely focus on stabilizing and rebuilding Syria's shattered economy, rehabilitating vital infrastructure, and restoring public services, much like its earlier interventions in post-genocide Rwanda.

[18] Rwanda Poverty Reduction Strategy Paper - Joint Staffs Assessment. documents1.worldbank.org/curated/en/345831468759882378/text/multiopage.txt

Leveraging its extensive experience in post-conflict environments, the Bank can assist Syria in drafting a comprehensive, long-term recovery plan aimed at fostering inclusive development, strengthening governance structures, and ensuring that reconstruction benefits all Syrians.

Key Areas for Reconstruction

The rebuilding of physical infrastructure is a key area to focus on. The physical devastation inflicted by the war is immense. Roads, bridges, schools, hospitals, and entire neighbourhoods have been obliterated, paralysing basic public services. The World Bank, with its expertise in financing large-scale infrastructure projects, can support Syria in rebuilding its cities from the ground up, prioritising resilient and sustainable urban development. The challenge here is not just restoring what was lost but rebuilding in a way that creates a more equitable, efficient, and sustainable urban landscape.

Similar to Rwanda, great emphasis will likely be put on rebuilding the Syrian economy. Syria's economic collapse has been one of the most devastating aspects of the conflict. The cumulative GDP losses between 2011 and 2016 are equivalent to four times Syria's pre-conflict GDP, and youth unemployment soared to 78% by 2015. Reviving the economy will require not only physical reconstruction but also restoring confidence in the private sector and attracting foreign investment. The World Bank's role will be essential in crafting strategies to revitalise key industries, promote small and medium enterprises (SMEs), and reestablish trade relations with regional and global partners.

On top of physical infrastructure and economic prosperity, social protection and human development also remain big goals to achieve. With over half of the Syrian population displaced, reintegrating these individuals and providing them with access to education, healthcare, and employment will be vital. The World Bank has an opportunity to work alongside other international organisations in creating social protection systems that ensure vulnerable populations, including refugees and internally displaced persons, have access to essential services. Investment in human capital will be critical to Syria's long-term recovery, particularly in rebuilding its education and healthcare sectors, which have been severely weakened by the war.[19]

Successes

The World Bank has made notable contributions to Syria's reconstruction, achieving several key successes.

The World Bank has provided crucial emergency assistance, facilitating the delivery of essential services such as food, healthcare, and education to over 4.5 million displaced individuals in Syria.

It has also supported the restoration of some vital infrastructure, including roads, schools, and health facilities, which are essential for re-establishing basic services and fostering economic activity, while also engaging in economic recovery initiatives: By promoting programs that support small and medium-sized enterprises (SMEs), the World Bank aims to stimulate job creation and stabilise the local economy.

Collaborating with UN agencies and local NGOs, the World Bank has established partnerships to enhance the effectiveness of humanitarian responses and reconstruction efforts.

Challenges

The reconstruction of Syria is marked by significant aspirations amid a bleak reality shaped by over a decade of conflict. Since the outbreak of the civil war in 2011, the country has faced catastrophic destruction, with an estimated 500,000 lives lost and over 13 million

[19]Roff, H. M. (2013) "After Assad: Syria's Post-Conflict Reconstruction," Human Rights & Human Welfare: Vol. 13: Iss. 1, Article 5. Available at: https://digitalcommons.du.edu/hrhw/vol13/iss1/5

people displaced, both internally and externally. The World Bank estimates that the war has resulted in a staggering $450 billion in economic losses, severely undermining Syria's infrastructure and social fabric.

As of 2023, approximately 90% of the population lives below the poverty line, with 6 million facing food insecurity. These dire conditions highlight the urgent need for a robust reconstruction strategy that addresses not only the physical rebuilding of cities but also the socio-economic rehabilitation of affected communities.

The Syrian government has set ambitious goals for reconstruction, aiming to restore the country's pre-war economic output and improve living standards. However, aspirations are hampered by a lack of funding, with estimates suggesting that $250 billion is needed for comprehensive reconstruction efforts. International financial support remains uncertain due to ongoing geopolitical tensions and sanctions against the Syrian regime.

Furthermore, In fiscal 2023, the World Bank approved $12.0 billion in lending to Western and Central Africa for 73 operations, including $564 million in IBRD commitments and $11.4 billion in IDA commitments. About half of these commitments went to countries affected by fragility, conflict, and violence. We also delivered 98 advisory services and analytics products in fiscal 2023.[20]

PRESCRIPTIVE PRACTICES

Independent Service Authorities

An alternative approach to restoring essential public services in fragile and failing states is through the establishment of Independent Service Authorities (ISAs). In environments where governments struggle to provide basic services such as education and healthcare, ISAs offer a means to reimagine how public funds are allocated and managed. This model integrates government, civil society, and donors into a collaborative framework designed to deliver services efficiently, with a focus on transparency, accountability, and performance-based outcomes.

The core idea is that ISAs would function as a wholesale purchaser of services, channelling resources not just to public entities but also to private firms and NGOs. By introducing multiple channels of delivery, the model fosters competition between providers—public, private, and civil society groups—allowing services to be delivered where they are most effective. Instead of relying solely on the often-inefficient state apparatus, ISAs enable a more agile, diversified approach that is constantly evaluated for efficacy.

Crucially, civil society plays a central role in monitoring how funds are spent, ensuring that spending is subject to rigorous scrutiny. This participatory oversight builds trust and transparency into the system, addressing one of the key challenges in fragile states: accountability. In addition, ISAs are designed to be continuously evaluated, ensuring that funds are directed towards the most successful and impactful channels. As these organisations prove their effectiveness, the flow of funding from both donors and governments would increase, creating a positive feedback loop for service delivery.

The ISA model holds the potential to revitalise failing systems by shifting away from traditional, top-down funding mechanisms and towards a results-driven, competitive environment that

[20]Devadas, S., Elbadawi, I. A., & Loayza, N. (2019). Growth after war in Syria. World Bank Policy Research Working Paper, (8967).

adapts to the specific challenges of fragile contexts.[21]

Public-Private Partnerships (PPP)

In countries rebuilding after conflict, public-private partnerships have emerged as an innovative way to combine the efficiency and innovation of the private sector with the regulatory support of public entities. PPPs can drive infrastructure development, service delivery, and even health and education sectors, sharing the financial burden between the public sector and private investors. The World Bank has supported PPP models for infrastructure recovery in several fragile states, ensuring investments are sustainable and targeted towards long-term recovery.

Performance-Based Financing (PBF)

This approach links funding to results, ensuring that financial resources are allocated based on measurable outcomes, such as improved health indicators or infrastructure completion rates. In fragile settings, where corruption and inefficiency can derail traditional funding mechanisms, PBF offers an incentive-driven model that rewards effective service delivery and project success. Rwanda's health sector recovery, for example, benefited significantly from PBF models supported by the World Bank.[22]

UNLIKELY WOES OF IDA'S CONCESSIONAL GRANTS

One major concern with foreign aid is its potential to hinder the growth of a country's export sector, a problem commonly referred to as Dutch disease.[23] Just like natural resource revenues, large inflows of aid can artificially strengthen the recipient country's currency, making labour-intensive exports less competitive on global markets. This phenomenon can stifle economic diversification, which is critical for fragile economies looking to break into new export markets. This concern has been articulated by leading economists, including Raghuram Rajan, who in 2005 publicly critiqued the adverse effects of aid, highlighting its negative impact on the very export sectors needed to lift countries out of poverty. However, this challenge can be mitigated through careful management of aid inflows.

Channelling aid into productivity-enhancing sectors that do not directly compete with export markets, such as infrastructure development, education, and healthcare is one method of doing so. Aid can enhance the overall competitiveness of an economy without driving up the exchange rate or disincentivizing exports.

Another approach is to ensure that aid is complementary to private sector growth. For instance, targeting aid to improve the business environment—such as reducing the costs of transportation or improving energy infrastructure—can lower operational costs for export-oriented industries and help offset the negative effects of a stronger currency.

COLLABORATION WITH OTHER AGENCIES

The collaboration between the World Bank Group and UN agencies represents a powerful alliance that leverages our collective expertise to address pressing global challenges, particularly in fragile contexts. By working together, we

[21]Collier, P. (2008). *The bottom billion: Why the Poorest Countries are Failing and What Can Be Done About It*. Oxford University Press, USA.

[22]*PUBLIC-PRIVATE-PARTNERSHIP LEGAL RESOURCE CENTER*. (n.d.). PUBLIC-PRIVATE-PARTNERSHIP LEGAL RESOURCE CENTER. https://ppp.worldbank.org/public-private-partnership/PPP_Online_Reference_Guide/Introduction

[23] *Dutch Disease: Wealth managed unwisely*. (2017, May 10). IMF. https://www.imf.org/en/Publications/fandd/issues/Series/Back-to-Basics/Dutch-Disease

tackle critical issues such as food security, social protection, job creation, and the needs of refugees. Our joint efforts unfold at high-level forums, including the UN General Assembly, where we share knowledge and insights, and engage in meaningful partnerships with individual UN agencies. This collaborative spirit is particularly vital in countries grappling with

fragility, conflict, and violence, where the Bank Group may have limited on-the-ground presence or operate in crisis scenarios.

Take Afghanistan as a case in point. Here, the World Bank provides significant support aimed at delivering essential services in food, health, education, and livelihoods through projects implemented by UN agencies and civil society organisations. This partnership not only addresses immediate humanitarian needs but also seeks to lay the groundwork for a more resilient future.

Afghanistan's long-term growth prospects hinge on a strategic shift away from reliance on international aid towards a robust, private sector-led economy that taps into the nation's inherent strengths. To achieve sustainable development, the focus must be on harnessing comparative advantages, especially in the agricultural and extractive sectors. Agriculture, in particular, has the potential to drive growth and reduce poverty, creating vital employment opportunities.

To unlock this potential, Afghanistan requires targeted investments in several key areas: enhancing irrigation infrastructure, securing land tenure, advancing research, and improving market access. Such investments will significantly boost agricultural productivity and resilience, paving the way for a thriving economy.[24]

[24]World Bank Group. (2024). THE WORLD BANK GROUP IN AFGHANISTAN In *World Bank*. https://www.worldbank.org/en/country/afghanistan/brief/world-bank-afghanistan-resilience-trust-fund-artf-support-for-the-people-of-afghanistan

Agenda 2: Developing a Framework for Sustainable Energy Transition

BACKGROUND

The energy consumption increase around the world is much quicker than expected, which has triggered rapid changes in the energy market. Such development is particularly important in developing economies such as ASEAN, India, and the Middle East that are expected to account for around 66%-95% of global energy demand growth by 2050. The challenge in this growing demand is being able to meet the energy requirements at this time while also being considerate of economic advancement and protection of the environment.

Energy transition is the term related to the transformation of energy sources from fossil fuels, which includes coal, oil, and natural gas, to nuclear energy or renewable energy sources, such as solar, wind, hydro, and geothermal energy. This change is required not only for climate change adaptation but also for maintaining power, energy security and social justice in the world. However, fossil fuels are the primary drivers of greenhouse gas emissions globally, which account for over 75% of such emissions. Rectifying this is crucial to meeting the targets of the Paris Agreement.[25]

To achieve the Paris Agreement's goal of limiting global warming to at least 1.5°C every year, it is very essential that the global community steps up and transitions to low-carbon systems. This needs combined efforts from the developed as well as the developing economies to decrease the dependence on fossil fuels.

The Renewable Energy Policy Network for the 21st Century (REN21) has been putting out an annual report called Global Status Report (GSR), offering a comprehensive look at how renewable energy is developing worldwide, since 2005. The GSR is crowd-sourced, and peer-reviewed by hundreds of experts working worldwide through a transparent review process providing overview on the state of developments taking place in renewable energy around the world along with market reports.[26] One of the most important points in this transition of energy is how the developed and the developing economies will split responsibilities.

THE ROLE OF ADVANCED ECONOMIES

In any energy transition debate, the question that intersects developed and developing economies is the sharing of the responsibility towards that transition. In developed countries, the industries did not have any constraints on environmental pollution and used fossil fuel to develop economically. Now slowly combining global targets, developing economies that need energy for expanding their development face more restraints. These constraints can impede their progress in cases where cleaner technologies are available but are very costly.

It is in this light that developed economies are anticipated to pursue an aggressive approach in funding the energy transition for poorer nations. Various treaties including the Paris Agreement emphasises that developed nations are to assist the developing with both resources and technology in order to implement clean energy systems. This is important if global goals set out in the Sustainable Development Goal 7 which target the Energy access for all at affordable cost and practice. Aiding this process will not only promote the developing economies to move

[25] McKinsey & Company. (2024, September 17). Global Energy Perspective 2024 | McKinsey. McKinsey & Company. Retrieved October 24, 2024, from https://www.mckinsey.com/industries/energy-and-materials/our-insights/global-energy-perspective

[26] REN21. (n.d.). *RENEWABLES 2024 GLOBAL STATUS REPORT*. REN21. Retrieved October 24, 2024, from https://www.ren21.net/gsr-2024/

forward but will equally promote environmental protection.

Key National Initiatives

Some current national initiatives relating to the energy transition that countries are undergoing include the RePower EU Plan. As a reaction to the energy crisis following the war in Ukraine, the EU is building on renewables and investing massively in renewable infrastructures– with an expected increase of up to 42.5% by 2027. A current effort this project undertakes is that all public buildings have rooftop solar panels installed by 2025.[27]

The United States' Inflation Reduction Act also diverts 370 billion USD towards clean energy development, providing tax credits for electric vehicles, energy-efficient appliances and solar panel installations.[28]

In India, the PM Surya Ghar: Muft Bijli Yojana provides subsidies for households to install solar panels, promoting the use of renewable energy in Indian homes and reducing the country's reliance on fossil fuels.[29] They have even given 196 solar panels to the UN as a sign of their commitment and contribution towards solar..

Collaboration

Collaboration for energy transitions has been a major focus of the World Bank, as well as various other UN-affiliated groups—such as the International Energy Agency (IAE).

Many organisations have heavily invested in decarbonisation efforts with increased governmental support—the idea of whether or not it needs to be undergone has been long answered. IAE's Net Zero by 2050 goal, specifically, has relied heavily on partnerships for decarbonising heavy industries and long-distance trading through energy transitions.[30]

This is something that they have pushed via the Clean Energy Transition Programme (CEPT), by focusing on collaborating and building partnerships with developing and emerging nations.[31] These include India, Indonesia, Mexico, as well as China.

IRENA, the transitioning future of IAE, has often vehemently raised proposals asking for the G7 nations to take on the onus of transitioning, and promote involvement from developed nations in:

1. Increasing infrastructure and enabling access to finance.
2. Expanding energy access and supporting the productive use of energy.
3. Strengthening institutional frameworks and capacity.
4. Effectively managing critical minerals for the energy transition.[32]

Despite this, and despite numerous ongoing efforts, an issue that plagues such a thought is

[27] *REPowerEU*. (2022, May 18). European Commission. https://commission.europa.eu/strategy-and-policy/priorities-2019-2024/european-green-deal/repowereu-affordable-secure-and-sustainable-energy-europe_en

[28] *Inflation Reduction Act*. (2024, September 20). U.S. Department of The Treasury. https://home.treasury.gov/policy-issues/inflation-reduction-act

[29] *PM Surya Ghar - MuFt Bijli Yojana| National Portal of India*. (n.d.). https://www.india.gov.in/spotlight/pm-surya-ghar-muft-bijli-yojana

[30] *Net Zero by 2050 – Analysis - IEA*. (2021, May 1). IEA. https://www.iea.org/reports/net-zero-by-2050

[31] *Clean Energy Transitions Programme – Programmes - IEA*. (n.d.). IEA . https://www.iea.org/programmes/clean-energy-transitions-programme

[32] *Decarbonising hard-to-abate sectors with renewables: Perspectives for the G7*. (2024, April 1). https://www.irena.org/Publications/2024/Apr/Decarbonising-hard-to-abate-sectors-with-renewables-Perspectives-for-the-G7

that very few nations can reach their own energy transition goals, owing to issues with productive use of energy—much less aid other less developed nations.

However, this does not mean strides cannot be made-- South Africa, for instance, is part of the IAE's technology collaboration program, which falls under CETP, while also being supported by the G7 under the Just Energy Transition Partnerships (JETPs), which is a G7 program similar to the ones IRENA has proposed aiming at financing the electricity sector, new energy vehicles, and green hydrogen in developing nations[33]. Bali, Vietnam, and Senegal are the nations that have since benefitted from the fairly new program.[34]

The G20 summit has also proven to be a viable breeding ground for such partnerships—with 2024 having it as a major discussion topic ('Energy transition and sustainable development in its social, economic and environmental aspects'), with the World Bank (WB) heavily involved in navigating potential partnerships to ensure just energy transition efforts.[35 36]

WB itself offers partnerships to nations like Haiti for energy transition using their Sustainable Development Bonds, which have been fairly successful so far.

While most partnerships have been for equitable energy transition, the developed nations, which have also required partnerships to achieve their own goals, have also developed and prospered. An example is the Partnership for Transatlantic Energy and Climate Cooperation (P-TECC), between the EU and the US. The existence of such partnerships, however, focus more on improving energy efficiency to reach their goals faster and promoting capital investment rather than finance-sharing programs.[37]

FRAMEWORK FOR SUSTAINABLE ENERGY TRANSITION

The successful large-scale implementation of renewable energy requires the establishment of supportive policies and regulations to make renewables viable in the long term. A sound framework must address several issues, the foremost of which is attracting private capital to invest in renewable energy infrastructure, which is the best way to accelerate the adoption of renewable energy sources.
The primary method that the World Bank has proposed to achieve this is the "Virtuous Cycle".

The Virtuous Cycle aims to catalyse private capital to increase the efficiency of green energy transition. It suggests government involvement as a means of laying the foundation for the transition by minimising risks faced by the private sector initially, thus encouraging a gradually increasing share of private sector investment in a country's renewables sector.

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[33]Ordonez, J. A., Vandyck, T., Keramidas, K., Garaffa, R., & Weitzel, M. (2024). Just Energy Transition Partnerships and the future of coal. *Nature Climate Change*. https://doi.org/10.1038/s41558-024-02086-z

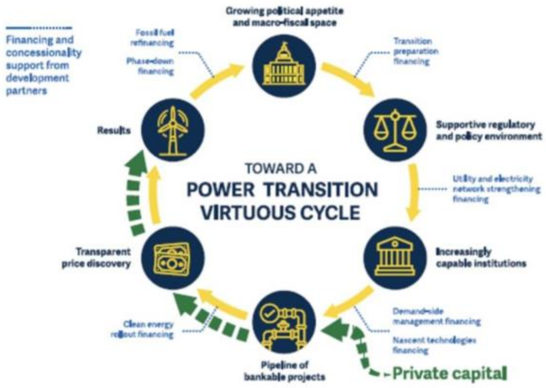
[34]Kramer, K. & International Institute for Sustainable Development. (2022). *Making the Leap: The need for Just Energy Transition* https://www.iisd.org/system/files/2022-11/just-energy-transition-partnerships.pdf

[35]United Nations Environment Programme. (n.d.). *G20 underlines the importance of a just, sustainable energy transition*. UNEP - UN Environment Programme. https://www.unep.org/technical-highlight/g20-underlines-importance-just-sustainable-energy-transition

[36]World Bank Group. (2024a, June 13). Progress on basic energy access reverses for the first time in a decade. *World Bank*. https://www.worldbank.org/en/news/press-release/2024/06/11/progress-on-basic-energy-access-reverses-for-first-time-in-a-decade

[37]*The Partnership for Transatlantic Energy and Climate Cooperation (P-TECC)*. (n.d.). Energy.gov. https://www.energy.gov/ia/partnership-transatlantic-energy-and-climate-cooperation-p-tecc

It is split into six major steps, with the first three steps aimed at mitigating risks for private financiers to enable their investment, and the last three steps focused on sustaining this cycle and propagating using the success already achieved.



The Virtuous Cycle
Source: World Bank

1. **STEP 1:** It starts with the government defining their commitment to long-term decarbonization and transition to clean energy.

2. **STEP 2:** Establishing supportive policies and regulations that create a supportive environment for private sector operators and investors.

3. **STEP 3:** Creating robust institutions and utilities with funding to equip ministries, regulators, and sector planners. Steps one, two and three build momentum and send a strong signal to international financiers that risks have been mitigated, enabling private investment to flow.

4. **STEP 4:** Building a positive track record through a pipeline of bankable energy projects.

5. **STEP 5:** Ensuring transparent, competitive, and predictable procurement processes to attract international investors.

6. **STEP 6:** Utilising positive results to strengthen national resolve, boost consumer interest, and attract even more private sector involvement as the cycle becomes self-perpetuating. Success breeds success.[38]

An example of such a framework in action is the ECARES project. The Europe and Central Asia Renewable Energy Scale-up (ECARES) initiative is a program launched in March of 2024 by the World Bank. It aims to accelerate the deployment of renewable energy solutions across the Europe and Central Asia (ECA) region, particularly in emerging economies. In its first phase, it aims to create 15 GW of power generation capacity using renewable energy.[39]

Although the program itself will provide $2 Billion in funding to the target region, it is expected to leverage private capital of $6 Billion, showcasing how a robust framework can effectively drive private sector investment.[40]

The first project approved by the World Bank board under the ECARES initiative is the "Türkiye: Accelerating the Market Transition for Distributed Energy" project, which includes $657 million in financing.

Financing and Investment

Scaling Up to Phase Down

As the framework's name implies, it involves a scaling-up phase, where renewable energy

[38]World Bank Group. (2023). Scaling up to phase down: the virtuous cycle. In the World *Bank*. https://www.worldbank.org/en/topic/energy/brief/scaling-up-to-phase-down-the-virtuous-cycle

[39]Cormier, C., Gil, S., Romero, S. M., & Culver, L. (2024, April 4). Scaling up renewable energy in Europe and Central Asia. *World Bank Blogs*. https://blogs.worldbank.org/en/europeandcentralasia/scaling-up-renewable-energy-in-europe-and-central-asia

[40]World Bank Group. (2024a, May 29). *Europe and Central Asia Renewable Energy Scale-up (ECARES)* [Video]. World Bank. https://www.worldbank.org/en/news/video/2024/05/29/ecares

capacity is massively scaled up to meet energy demands, followed by a phasing out of primarily coal-fired power plants, along with other fossil-fuel based sources of energy.

The Scaling Up to Phase Down Framework aims to aid Low-Income and Middle-Income Countries in their transition to renewable energy by providing them with access to cheap private capital, which is the primary roadblock for most LICs and MICs. Thus, a large part of the framework is dedicated to ensuring that these countries, which are the most in need of private capital to establish such infrastructure, are able to access funding.

As Demetrios Papathanasiou, the Global Director for the World Bank's Energy and Extractives Global Practice put it, "Poorer countries are stuck in a vicious cycle where they pay more for electricity; cannot afford the high upfront cost of clean energy; and are locked into fossil fuel projects. In essence, they are paying a triple penalty for energy transition. The poverty trap is becoming an energy trap that is becoming a climate trap." [41]

Capacity Building: Training and development for effective implementation

Alongside scaling up a country's renewable energy infrastructure, it is essential for the country to also build capacity in its labour. Governments must ensure there is adequate capacity at both institutional and workforce levels, to reap the benefits of both renewable energy as well as the jobs it creates.

Bridging the skill gap to equip the workforce with specialised skills is needed for installation, operation, and maintenance of renewable energy systems in a cost-effective manner.

An example of a program that assists governments is IRENA's (International Renewable Energy Agency) Masterplan Development Support Programme, which provides assistance in building and enhancing institutional energy planning capacity.

IRENA works with governments to implement structured, in-depth training that is tailored to a country's specific context.[42]

CASE STUDIES

Germany (Energiewende)

Germany's Energiewende is a long-term strategy aimed at transforming the country's energy system from a reliance on fossil fuels and nuclear power to a more sustainable, low-carbon energy mix based on renewable energy sources.

The German government has been working towards the implementation of this plan, which aims to reduce greenhouse emissions by supplying the majority of the country's needs through renewable energy in place of fossil fuels.[43]

There have been several remarkable achievements of the plan. These include a successful total phase-out of Nuclear Power (Atomausstieg), which was completed by 2023 when the last nuclear power plants were shut.[44] In

[41] Asktrakhan, I., Skarnulis, A., Knaack, P., & Zetterli, P. (2024, June 27). Driving a virtuous cycle of inclusive green finance. *World Bank Blogs*. https://blogs.worldbank.org/en/psd/driving-a-virtuous-cycle-of-inclusive-green-finance
[42] IRENA. (n.d.). *Capacity building for energy planning and modelling*. IRENA. Retrieved October 24, 2024, from https://www.irena.org/Energy-Transition/Planning/Long-term-energy-planning-support/Capacity-building-for-energy-planning-and-modelling

[43] Smil, V. (2021, July 28). Germany's Energiewende, 20 years later. *IEEE Spectrum*. https://spectrum.ieee.org/germanys-energiewende-20-years-later

[44] Smay, H. (2023, May 9). *Germany's nuclear energy Phase-Out, explained*. NIRS. https://www.nirs.org/germanys-nuclear-energy-phase-out-

addition, 2023 saw 59.7% of the energy generated locally in Germany powered through renewable sources in nature.[45]

Consequently, it has had a direct impact on slashing its emissions in line with the 2030 goal- Germany has reduced its emissions by 40% since 1990.[46]

Despite this, the plans haven't always panned out smoothly for Germany. While the Energiewende has driven renewable energy growth, the cost of the transition has been high, particularly for consumers. The "renewable energy surcharge" (EEG surcharge), initially funded by electricity customers, led to high electricity prices. This was later corrected by policy changes, but future projects must account for the cost of the transition in advance, not burdening consumers with it as much as Germany.

In addition, Germany's existing electricity grid infrastructure has struggled to keep pace with the rapid expansion of renewables, particularly in transferring electricity from the wind-rich north to the industrial south. This is not an isolated occurrence- China has faced similar issues, where the production centres of renewable energy are geographically distant from where it is consumed, leading to large transmission losses.

During the Russia-Ukraine conflict, the energy shortage forced Germany to rely on fossil fuels as a backup to deal with the shortfall. This shows that for energy security to not be compromised in future projects, the transition must be phased to ensure it is smooth. A sudden tectonic shift in energy sources is extremely risky.[47]

India (National Solar Mission)

India's approach to solar energy has been driven by its aim to improve its energy security and reduce its dependence on fossil fuels, particularly coal and crude oil, which it has to import.

It also aims to help mitigate climate change and help India reduce its emissions in line with the Paris Agreement. Over the past decade, India has scaled up solar energy capacity, supported by policy interventions and significant public and private investments.

India has largely focused on a multi-faceted approach, that is building both Large-scale, solar parks that generate great amounts of solar energy and have private investment, as well a micro-level focus on rooftop solar, where it offers government subsidies to encourage the adoption of solar energy by the people.

However, India has a significant reliance on imports for solar-power infrastructure such as panels, which makes it vulnerable to supply-chain disruptions and to some extent, undoes its efforts to be more energy secure.The most significant ground-level impact of solar energy in India is the electrification of rural and remote regions. Although these regions are usually connected to the power grid and thus "electrified", the energy supply is inconsistent and there are frequent power cuts.

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explained/#:~:text=On%20April%2015%2C%202023%20utilities%20in%20Germany%20shut,of%20German%20nuclear%20energy%20from%20the%20nation%E2%80%99s%20grid .

[45]*Public net electricity generation 2023 in Germany: Renewables cover the majority of the electricity consumption for the first time*. (2024, January 15). Fraunhofer Institute for Solar Energy Systems ISE. https://www.ise.fraunhofer.de/en/press-media/press-releases/2024/public-electricity-generation-2023-renewable-energies-cover-the-majority-of-german-electricity-consumption-for-the-first-time.html

[46]Kappner, K., Letmathe, P., & Weidinger, P. (2023). Causes and effects of the German energy transition in the context of environmental, societal, political, technological, and economic developments. *Energy Sustainability and Society*, 13(1). https://doi.org/10.1186/s13705-023-00407-2

[47]*6 ways Russia's invasion of Ukraine has reshaped the energy world*. (2024, September 10). World Economic Forum. https://www.weforum.org/agenda/2022/11/russia-ukraine-invasion-global-energy-crisis/

Installation of solar panels funded under the National Solar Mission has allowed much greater access to energy for rural households, boosting social equity and giving them opportunities for growth.[48]

CHALLENGES

Financially, the primary barrier to large-scale adoption of renewable energy is the high upfront cost. While many High-Income Countries are able to access debts at significantly cheaper rates, and thus enjoy the long-term benefits, Low and Middle-Income countries do not have the same access to cheap capital or investment from private funds.

This traps them in a cycle of paying for fossil fuels that are both more expensive in the long term, and cause great harm to the environment, along with undermining their energy security. It gives them a difficult situation where they are forced to sacrifice the long-term benefits and environmental benefits, to ensure their citizens are able to access energy and their industry is able to function. Taking the other choice could be politically devastating for the government in power, as high energy prices are a sensitive topic with the populace in most countries.

Thus, the implementation of the World Bank's virtuous Cycle becomes essential to address these issues and enable Renewable energy Adoption in Low and Middle-income countries.[49]

Along with financial constraints, there are also several technical barriers that arise as roadblocks to sustainable energy transition. A lack of a skilled workforce to handle the technical aspect of the transition can limit the extent and speed of the transition. Other common problems are outdated energy grids, often overloaded or ageing, that are required to be replaced, which is often both expensive and time-intensive.

The major critique of many renewable sources is their unpredictability- there can be very little power when it is needed, and a lot of power when there is no demand for it. Thus, this can cause a lot of wastage of energy as well as a reliance on fossil fuels to make up the difference in times of higher demand, due to the lack of efficient energy storage options available in a country.

Energy efficiency is often the lowest-cost means of increasing the reliability, affordability, and sustainability of energy supply, but remains grossly underexploited. This refers to the practice of using less energy to provide the same amount of useful output from a service. This means that instead of generating more electricity to meet demand, we can instead focus on reducing demand by making consumption more efficient. It is typically the lowest-cost option for increasing the reliability, affordability, and sustainability of energy supply, yet it remains grossly underexploited. According to the IEA, "Energy efficiency is the single largest measure to avoid energy demand in the Net Zero Emissions by 2050 (NZE) Scenario".[50] Progress on efficiency has accelerated over the past two decades, but it still needs to double to achieve the net zero emissions goal. This means it still requires much greater emphasis and investment.

CONCLUSION

Given the World Bank's aim of helping Low and Middle-income countries alleviate poverty and develop their economies, it plays an integral part in a successful energy transition. In its most direct approach, the World Bank acts as a financier, providing highly concessional rates of interest for

[48] *Solar Overview | MINISTRY OF NEW AND RENEWABLE ENERGY | India*. (n.d.). https://mnre.gov.in/solar-overview/
[49] World Bank Group. (2023). Scaling up to phase down: the virtuous cycle. https://www.worldbank.org/en/topic/energy/brief/scaling-up-to-phase-down-the-virtuous-cycle

[50] *Energy Efficiency - Energy System - IEA*. (n.d.). IEA. https://www.iea.org/energy-system/energy-efficiency-and-demand/energy-efficiency

loans to fund the various renewable energy projects under its programs, such as the Grid Connected Rooftop Solar Programme (India) and the West Africa Power Pool(WAPP).[51] [52] However, apart from directly funding programs, which is only sustainable up to a certain extent, the World Bank helps these countries raise funds from the private capital markets, as highlighted earlier, by providing frameworks such as the Scaling Up to Phase Down approach, and the virtuous cycle. Apart from advising governments on how to de-risk projects, the World Bank also offers guarantees of its own to make investments more appealing to private investors by sharing the risk burden.

Thus, combining all these roles helps the World Bank offer an end-to-end solution to facilitate the renewable energy transition. An example of this is the Scaling Solar program, which aims to assist in the creation of privately funded grid-connected solar projects that are competitive in tariffs and reach the operational stage within a period of two years. The self-declared one-stop shop program includes the World Bank providing its advice, assistance in the tendering process, a competitive and fast bidding process, and risk management services to make the tariffs for power more competitive with fossil fuels by lowering the interest rates for loans that fund the project.

[51]World Bank Group. (2019, February 28). *India Project Update: Grid Connected Rooftop Solar Photovoltaic program*. World Bank. https://www.worldbank.org/en/results/2019/02/27/grid-connected-rooftop-solar-photovoltaic-project#:~:text=The%20World%20Bank%20recently%20conducted%20its%20fourth%20Implementation,Connected%20Rooftop%20Solar%20Photovoltaic%20%28GCRSPV%29%20units%20across%20India .

[52]World Bank Group. (2022, October 2). World Bank Group provides $465 million to expand energy access and renewable energy integration in West Africa. https://www.worldbank.org/en/news/press-release/2021/06/10/world-bank-group-provides-465-million-to-expand-energy-access-and-renewable-energy-integration-in-west-africa